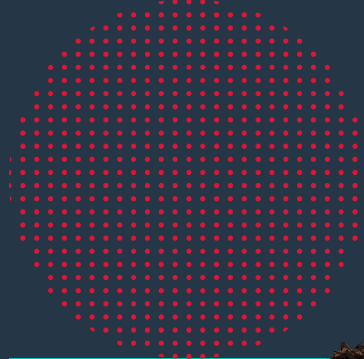




Small Business Strategy ELT Discussion

December 18, 2024



Small Business Strategy | Executive Summary

Opportunity

Small Business is one of the **most attractive growth opportunities** for the WEX Enterprise (~\$2.5-3.0B Fuel Card TAM in 2024)

Winning requires that WEX **first enhance our core fuel value proposition** to earn the right to expand into other adjacencies and growth horizons

Current State

Our performance is worsening with **YOY applications down ~28%** which has the potential to further **impact revenue and EPS** if trend continues

We are at war with Coast, a new enemy who is attacking our Small Business core, and need to **respond with a heightened sense of urgency**

WEX has the capacity & **right to win** if we maniacally focus on serving core SB needs, while **testing key hypotheses** to inform and enable future growth

Ambition & 2025 Plan

Our ambition is two-fold, to be (1) the **leading fuel card provider for SBs** opening the door to becoming (2) the leading provider of payments and financing services for the **SB trade workforce**

To win we need to invest in **five key pillars** to implement our 2025 strategy – Product & Value Prop, Marketing, Sales, Customer Lifecycle Management, & Pricing, which are **interdependent levers required to succeed**

Outcomes & Next Steps

Stabilizing our portfolio and delivering on our '25 stretch targets will drive...

- Revenue of **\$309.5m (flat YoY)***
- Refreshed fuel card value
- NPS improvements
- Experiments & insights to inform our growth plan

...achieving this requires that we act decisively, prioritize & allocate adequate resources, and align organizational focus:

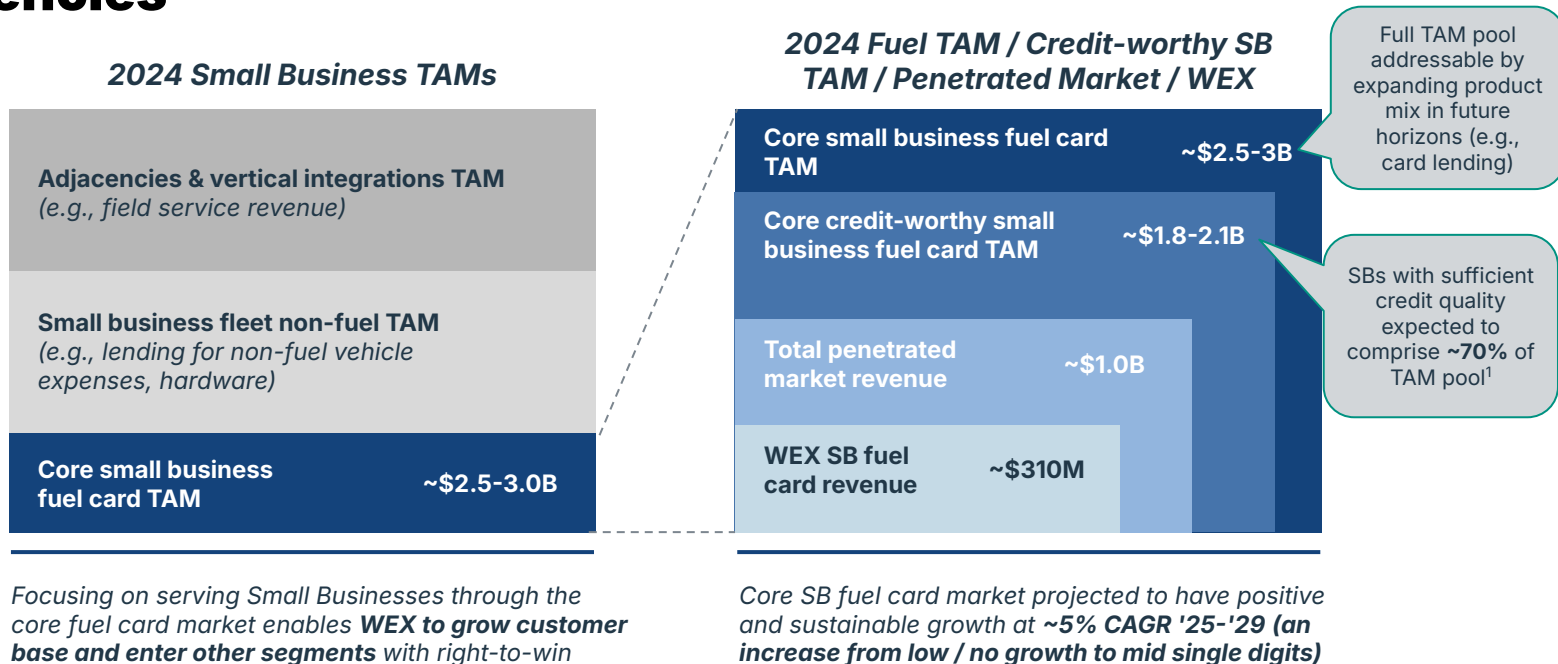
- **~\$12-15m** incremental investment/tradeoffs
- Creation of 1.0 SB organization
- POA Product/Platform alignment
- Shared goal commitments and KPIs

In the next 90 days we will execute on our key priorities

	Q1	Q2	2H	 Key KPIs
Value Prop Refresh	Build product refresh enablers: DCA, Onboarding journey, site, rewards/promo	Value prop refresh 2.0 & implementation	- Onboarding enhancements - Ph. 2 implementation	- Revenue - Funnel Close Rates - New Customer NPS
Marketing	Precision targeting development & refresh of marketing assets Refine LTV and launch investment optimization v1.0	Elevate marketing investment to align with value prop refresh Invest 2H25 funding based on new LTV model recs.	Refinement & build of measurement and test & learn capabilities	- New revenue acquired - Revenue yield - LTV/CAC (ROI)
Sales	Add'l GTM resources (3 FTEs)	Lead scoring & LTV driven targeting to maximize IS team ROI	Refinement of lead scoring & prioritization across IS team	- Revenue & LTV - Approved apps/rep - Close rate %
Customer	Onboard marketing & activation resources Execute on CLM roadmap	Build and implement SMS functionality WEX Direct experimentation In-app pendo guides for WOLNG Continued execution of CLM roadmap	Continued measurement, scaling and experimentation across lifecycle	- Revenue retention/activation - Attrition / dormancy rates - NPS
Pricing	Assessment of current state pricing architecture & strategy; alignment on path forward	Onboarding risk-return optimization resources Analysis of competitor pricing tactics & identification of key pricing oppty's	Experimentation & refinement across pricing levers to drive profitability	- Revenue - NPS - Attrition - Customer profitability

Investment Staging	\$2.3m	\$5.6m	\$6.4m
Incremental Marketing	\$0.6m Capex/ \$0.2m OpEx	\$0.3m Capex / \$4.4m Opex	\$4.5m Opex
Incremental All Other	\$0.6m Capex / \$0.6m Opex	\$0.3m Capex / \$0.1m Opex	\$0.3m Capex / \$0.6 Opex
Incremental FTEs	\$0.3m Opex (+12)	\$0.4m Opex (+3)	\$0.9m Opex

WEX has a significant opportunity to capture share in the core SB fuel market (~\$2.5-3B) and establish right-to-win in adjacencies



1. Based on percentage of SB applicants denied for loans, lines of credit, or cash advances (based on 2023 Small Business Credit Survey)

Sources: Federal Motor Carrier Safety Administration; Berg Insights 2021 Fleet Management in the Americas Report; US DOT ("Table 1-14: U.S. Automobile and Truck Fleets by Use"); EPA (fuel economy by vehicle type), BLS (inflation growth rate); BTS ("Average Age of Automobiles and Trucks in Operation in the United States"); S&P Global LV Sales FC (10/2024); S&P Global GADT (10/2024); BCG Powertrain model (10/2024); Bloomberg; EVAdoption; BCG BEV adoption surveys: US~3000 respondents; 2023 Small Business Credit Survey; Industry interviews; BCG analysis

We first need to address core customer needs and close competitive gaps to earn the right to advance beyond fuel

Core SB Needs



Control: manage employee spending



"Easy control on all vehicles expenses and centralized billing as a result allow me to better manage my fleet."



"We are able to control not only fuel spend, but other merchant categories that our drivers may need to use the card for."



Savings: rewards and savings at the pump



"Convenient but no real savings. Can get this same program from many companies."



"This card has saved us thousands overall. Incredibly low monthly fees, locks after usage to avoid theft of card is lost or forgotten."



Competitive Pricing: fair & transparent fees



"The price and fees are not sustainable for a small business."



"Coast is an exceptional program with minimal fees ... [we switched to Coast] because the fees we were incurring were astronomical"



Access to Credit: flexible option to pay-over-time



"Easy way to pay for gas."



"Being able to make payments which post quickly helps us manage our cash flow."



CX: ease of use, quick support, & automation to "set it and forget it"



"They intentionally don't allow autopay to make it more difficult for their customers. When I asked a manager, they told me to talk to sales about it. Avoid this company."



"I'm not sure how I managed before Coast. Additionally, the speed of customer service is top-notch."

However, until recently we have not invested or focused on meeting Small Business customer needs

WEX has only recently begun to make **limited investment** in core fuel card products designed for the **needs of Small Businesses...**

Legacy stack and systems creates significant hurdles to new development

	Core Fuel			Fuel Adjacent	M&A Payments/SW
	Fuel Charge Card	Fuel Revolver Card	Chip+ Card	Telematics	Payzer
Stack	Millennium (started in year 2000)			3rd Party	Separate Stack
SB Customers	~310k	~70k	~15k	~4k	~5k
SB Revenue	~\$275m	~\$35m	\$1.5m	~\$16m	~\$28m
Age of Product	~40 yrs	~9 yrs	~1 yr	~16 yrs	~12 yrs (SaaS ~7)

Meanwhile **competitors** are making **major investments** and reaping positive results from customers...



Modern Stack
~5k
~\$15-20m
<4 yrs

In the past three years...

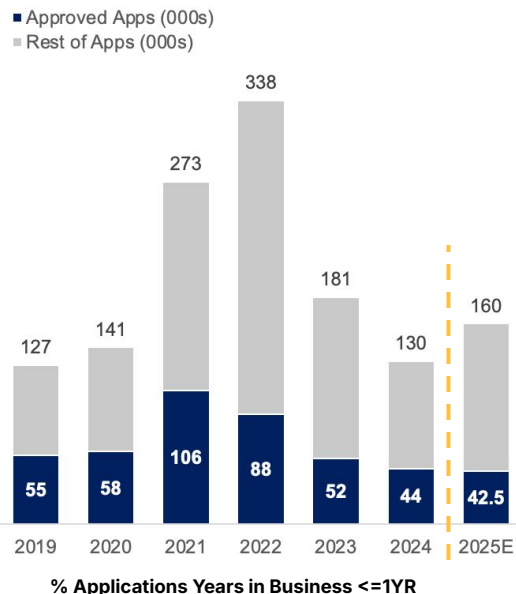
Multiple fundraising rounds, a dozen partnership / integration announcements, regular new offerings/product

There are key limitations with our existing product, technology and systems that make it difficult to reach parity with some competitive features (e.g., mobile strategy)

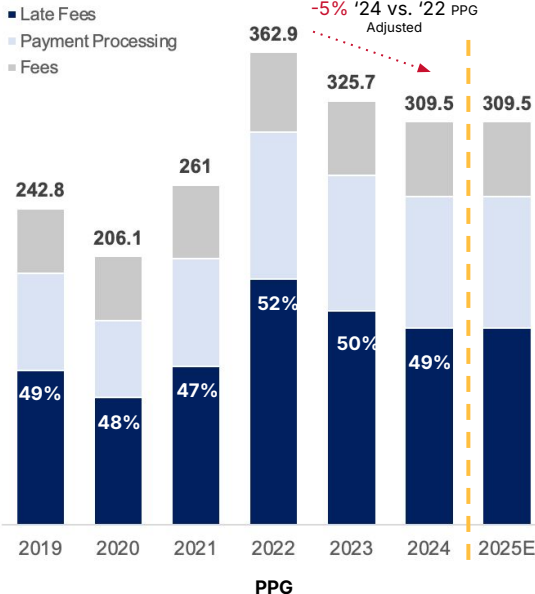


We believe this lack of investment and focus is contributing to headwinds in our business...

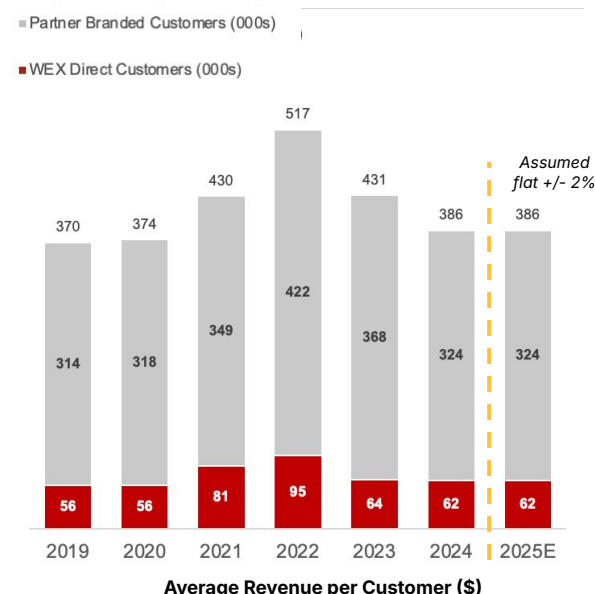
NAM Applications are slowing...



SB Revenue is declining...



Customer count is declining...



*Validating 2025E Revenue allocation for SB with Finance

...however, WEX has several key advantages to capture share, play offense, and shift momentum in the SB market



Scaled customer base to power data-driven insights

- ✓ ~380k customers
- ✓ ~12k apps per month
- ✓ ~130m transactions per year

Industry-leading economics

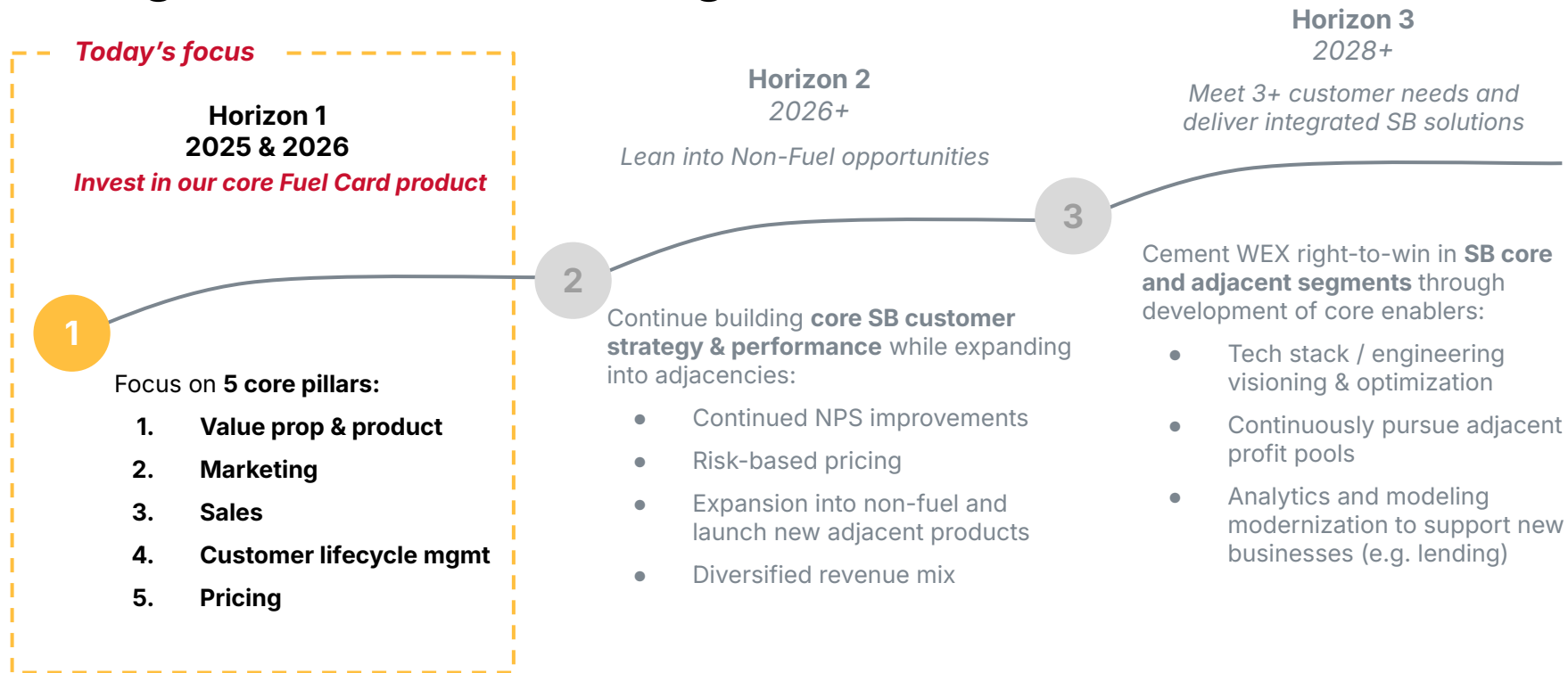
- ✓ ~70% NAM OI margin
- ✓ ~\$570m of adj. FCF for WEX in trailing 12 months
- ✓ Generating ~50% more profit per customer than next closest peer¹

Distribution & partnerships

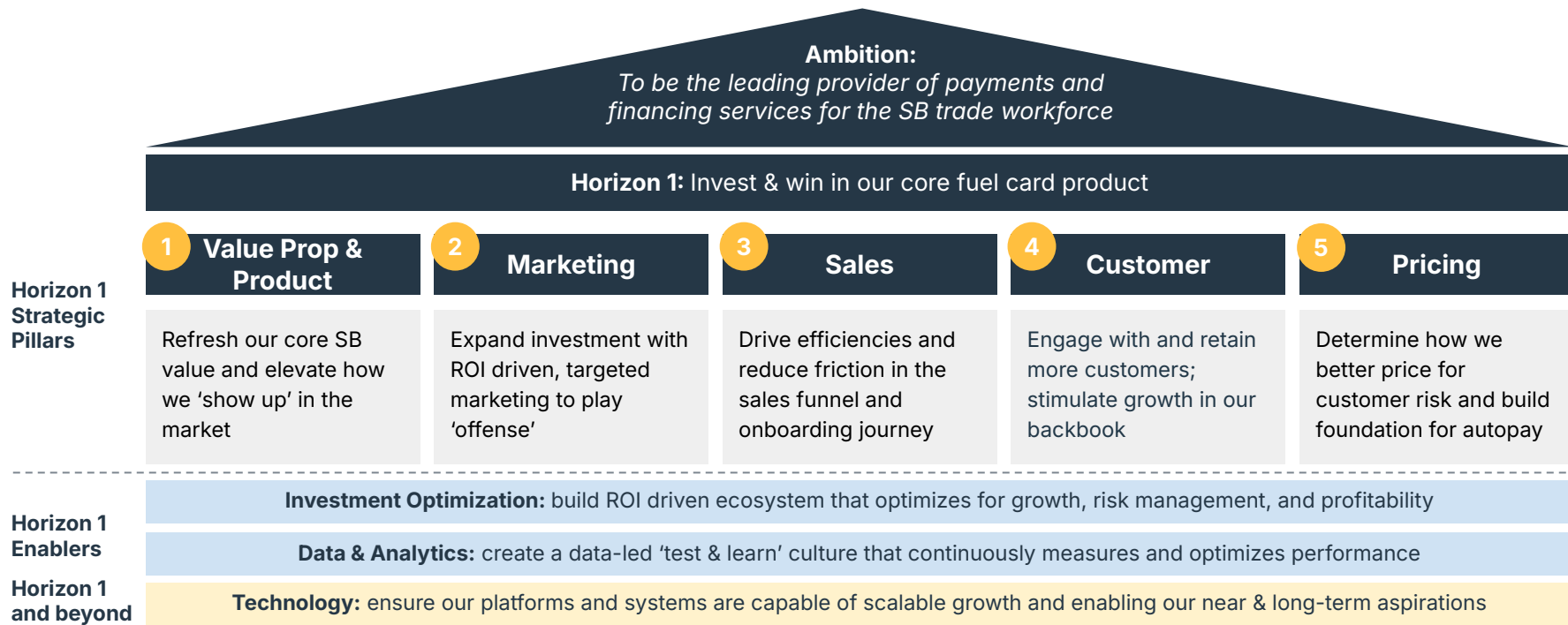
- ✓ 28 marketing managed oil partners
- ✓ Major oil partners

¹See appendix; based on comparison of estimated unit economics for a 10-vehicle fleet with \$80k annual fuel spend vs. Corpay and Coast

In 2025, we will focus on delivering against our core to build a strong foundation for future growth



Our 2025 priorities will stabilize and focus our core, while creating the foundation for future growth horizons



Horizon 1: Strategic Pillars

We have the ability to close the gap across key dimensions & win the SB market

		 coast	 wex™	 wex™ 2025
Core SB Needs	Fuel Spend Control			
	Savings / Rewards			
	Fees / Pricing			
	Access to Credit			
	CX: Ongoing use, servicing, support			
Core SB Features	Application & onboarding			
	Rewards bonusing capability			
	Controls management			
	Transparent invoicing & statements			
	Auto pay			
	Mobile			
	Telematics integrations			



Priority Initiatives include...

- Refresh core value prop (rewards)
- Uplevel our digital 'Shop' experience
- Build foundation and MVP for POA onboarding & customer experience (i.e. Select)

KPIs

- Revenue
- Funnel Close Rates
- NPS

2025 incremental impact:

- Revenue upside: ~\$2m
- Investment ask: ~\$1.75m
 - +\$1m Contra-Revenue

From a customer perspective, WEX offers lower perceived value than competitors, signaling oppty to close gap & refine



Digital 'Headline'		Earn up to \$0.03 per gallon ¹ at 95% of U.S. gas stations, with automatic reporting & easy spend controls	Earn rebates of 2 – 2.5% across 15k+ partner stations ² & pump anywhere with MC; includes reporting & controls	Save \$0.04 – 0.10 per gallon at 30k+ stations nationwide ³ , with best-in-class spend controls & real time data
Customer value	Always-on rebates	\$0.01 – 0.03 per gallon	2 – 2.5% on fuel spend in network; 1 – 1.5% outside network	\$0.04 – 0.10 per gallon in network; \$0.02 per gallon outside
Fees	Fees ⁴	\$4 per card per month; \$40 account set up fee; 9.99% late fee	\$149 per month if less than 10 cards; free for 10 cards or more; 17.99% late fee	\$4 per card per month; 1% late fee (5% if 31+ days overdue)
Perceived total customer value	3 vehicle fleet	-\$100⁶ (<1x)	-\$1,400 (<1x)	\$340 (3x)
(value-to-fee-ratio) ⁵	10 vehicle fleet	\$15 (1x)	\$1,200 (NM; No fees)	\$1,100 (3x)
Capture of revenue pool by company	3 vehicle fleet	93%	87%	7%
	10 vehicle fleet	85%	60%	7%

1. Rebate of \$0.02 per gallon if less than 5k gallons purchased per month, \$0.03 per gallon if over 5k gallons purchased each month; 2. Calculations assume customer purchases 50% of gallons from CorPay Savings Network and 50% outside, and assumes customer does not use the virtual card function; 3. Calculations assume average rebate of \$0.06 per gallon; 4. Other fees includes only card fees & one-time account set up fees (where applicable); 5. Value-to-fee ratio calculated as (rebates / other fees); 6. ~50% of WEX SBs have <5 cards; the 3 fleet example will not always qualify for \$0.02 rebate (1k gal/mth); Note: Analysis assumes average price per gallon of \$3.00, 8k gallons of fuel purchased for 3-vehicle fleets and 27k gallons purchased for 10-vehicle fleets; WEX, Corpay & Coast feature non-fuel benefits; Analysis does not account for late fees or other fees applied to SBs; Sources: Company websites, BCG analysis



Favorable unit economics provide meaningful advantage for competing & capturing market share

Illustrative profit breakdown across competitors from a 10-vehicle SB fleet with \$80K in annual fuel spend on ~27K gallons¹

	WEX revenue	CorPay revenue	Coast revenue	Revenue model assumptions
⊕ Interchange fees	~\$1,800	~\$1,800	~\$1,800	Interchange 230bps across all players
⊕ Acquiring margin	~\$600	~\$300	-	Assumes MDR of 300 bps; WEX captures 70bps (all transactions on prop network); CorPay captures 35 bps (half of transactions on prop network)
⊕ Card fees	~\$500	-	~\$500	No card fee for CorPay (10+ cards); WEX \$4 per card per month plus \$40 account setup fee; Coast \$4 per card per month
⊕ Late fees and interest	~\$800	~\$1,400	~\$100	Assumes 10% of payments are late
= Gross revenue	~\$3,700	~\$3,600	~\$2,400	
⊖ Rebates ¹	~\$500	~\$1,200	~\$1,600	WEX \$0.02 rebate per gal., CorPay 2% rebate per gal. in-network (1% out of network), Coast \$0.06 rebate per gal.
⊖ BIN sponsorship	-	~\$200	~\$300	No BIN sponsor fee for WEX; assumes 30bps of BIN sponsor fees from CorPay; 40bps from Coast
⊖ Cost of funding	~\$200	~\$300	~\$300	CorPay and Coast cost assumes 15 days of working capital at prime rate of 7.78% (~32bps); WEX estimate reflects lower cost of funds but increased reg burden (~20bps)
⊖ Network payment	-	~\$50	~\$100	No network payment for WEX; assumes 50% of CorPay fuel spend on proprietary network; 14bps of network fees from CorPay and Coast
= Net revenue	~\$3,000	~\$1,800	~\$100	

Other fees
may likely
exist

Note: most SB customers qualify for even less rebate

1. Assumes average spend per vehicle fill up of \$80, twice a week, with 10 active cards, at an average fuel price of \$3.00 per gallon

Beating Coast requires increasing investment while maturing our acquisition capabilities

		Corpay [^]	 coast	2024  wex™	2025+  wex™	
Demand Gen: Awareness	Direct Mail	✓	✓	✓	✓	+\$10M 2025 investment (details on following page)
	Paid Search	✓	✓	✓	✓	
	Programmatic	✓	✓	✓	✓	
	Social	✓	✓	✓	✓	
	Trade	✓	✓	✓	✓	
	Referral		✓			
Consideration: Card Shop	Site & SEO	✓	✓	✓	✓	
	Promos	✓	✓	✓	✓	
	Digital Shopping UX	✓	✓	✓	✓	
Purchase: Apply	Mobile	✓	✓	✓	✓	
	SMS	✓	✓		✓	

 Leading
 Lagging
 Lacking Funding

Priority Initiatives include...

- Strategic shift to focus on WEX Card
- Investment optimization to increase market parity
- Driving WEX Card Acquisition Growth & Effectiveness (e.g., precision targeting)
- Enhance Card 'Shop' Engagement

KPIs

- Revenue yield
- LTV/CAC (ROI)

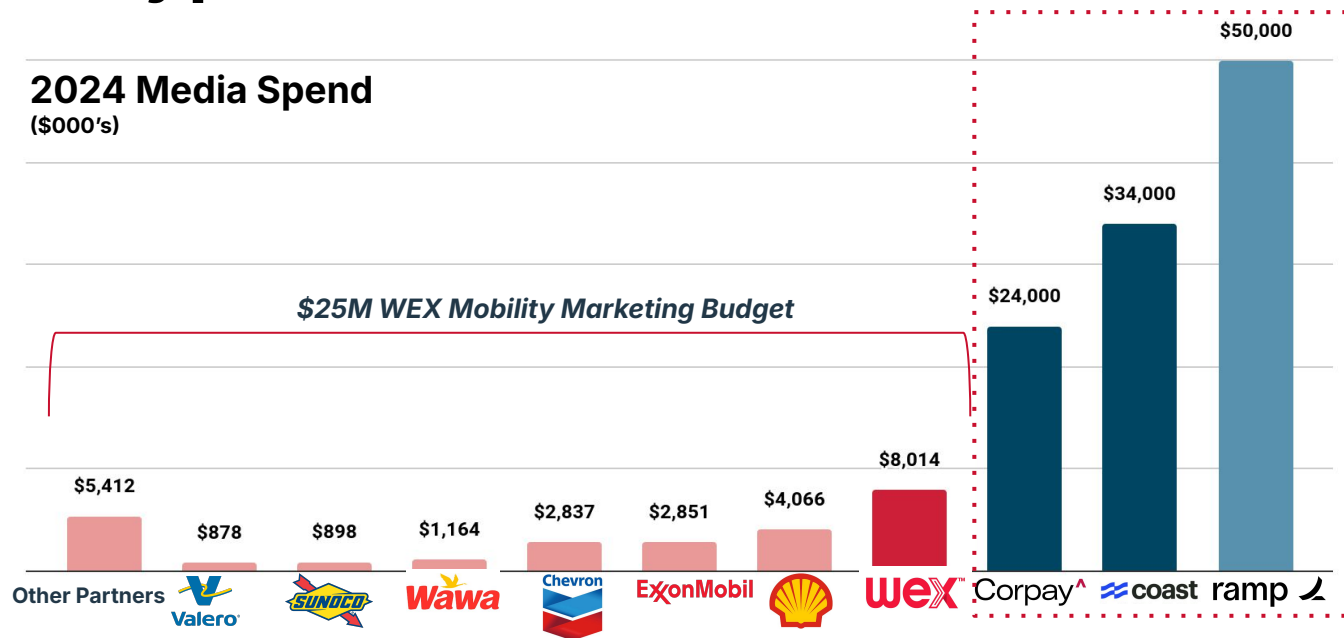
2025 incremental impact:

- Revenue upside: **\$22m** (Y0 + Y1)
- Investment ask: **\$10m**

Competitors focus their marketing 'war chest' on core proprietary brands, while WEX spreads its investments across many partners

2024 Media Spend (\$000's)

\$25M WEX Mobility Marketing Budget



Trends to watch:

- **Emerging competitors:** COAST and Ramp aggressively increasing investment
- **Incumbents are modernizing:** Corpay's new Mastercard launched this year
- **While, customers are searching for "controls" vs. "fuel cards" ; "fuel card" search term demand on Google declined 40% YoY**

Contractual Partner \$ WEX Controlled \$

Competitor swag based on Paid Search available bidding data



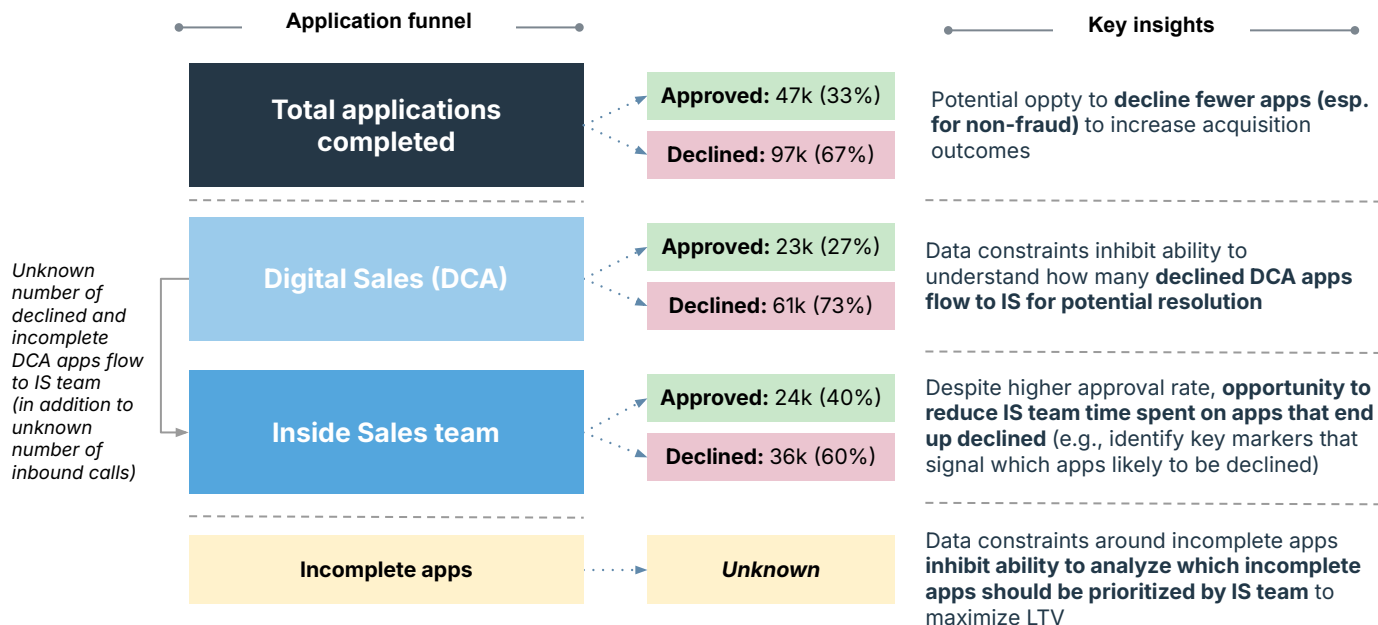
NAM SB Media Investment Mix to Maximize ROI for 2025

focused on our refreshed value prop

	Flat Budget \$25m	+\$5m in WEX	+\$10m in WEX
	\$16.8m Contractual \$8.2m Non-Contractual	\$16.8m Contractual \$13.2m Non-Contractual	\$16.8m Contractual \$18.2m Non-Contractual
2025 Focus Areas	• BAU Optimizations for WEX Direct + 28 Partners • SEO & SEM Agency Maturation • 100+ Test and Learns • CDP: New Journeys • Digital Value Prop Refresh	• +\$1.2m Fund Precision Targeting • +\$1.5m Mature Paid Search • +\$1.5m Introduce upper funnel activity to fuel long-term growth • +\$650k Mid-Funnel Social & Programmatic • +\$150k Content marketing	Prior investments, plus: • +\$2.0m Paid Search + new Channels • +\$1.0m Increase upper funnel activity to fuel long-term growth • +\$1.9m Mid-Funnel Social & Programmatic • +\$150k Content marketing
Forecasted Revenue	• 42,500 Approved Apps (-10%) • 2025: \$23.7m • 2026: \$49.9m	• 48,575 Approved Apps (+14%) • 2025: \$27.1m (+14%) • 2026: \$57.0m 2.1× 2YR Revenue Return on incremental	• 54,575 Approved Apps (+12%) • 2025: \$30.9m • 2026: \$65.1m 2.2× 2YR Revenue Return on incremental

We will focus on driving efficiencies in our E2E Sales funnel while advancing our Digital POA

Near-term there is opportunity for **Inside Sales (IS)** to focus on highest LTV opportunities across digital & IS team applications and longer-term **full transition to digital-only channel can optimize sales**



Priority Initiatives include...

- LTV driven targeting and lead prioritization
- Streamline bank/fraud workflow and cycle times
- Salesforce automation initiatives
- Training & Sales Effectiveness
- Streamline Application / Remove Friction (e.g., mobile journey, SMS pending funding)

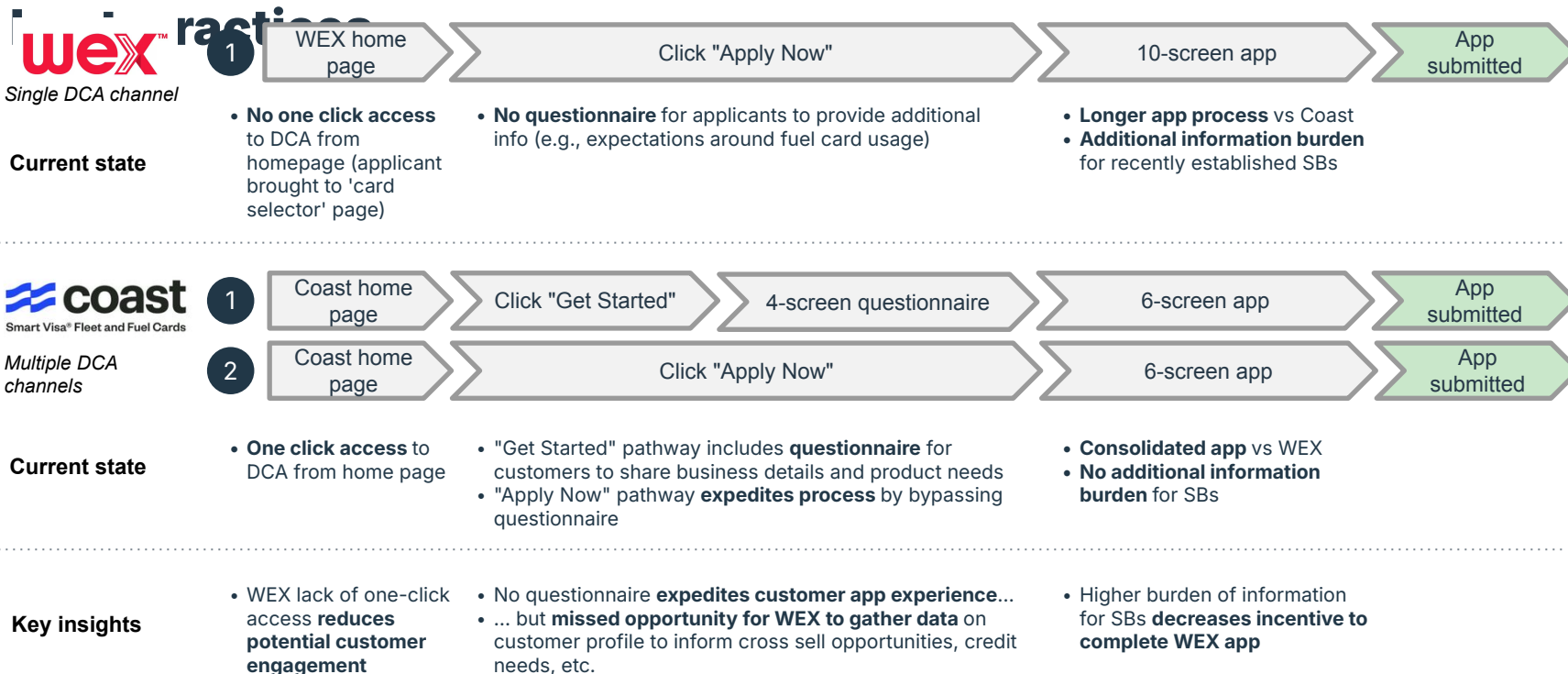
KPIs

- Revenue & LTV
- Approved apps/rep
- Close rate %

2025 in-budget impact

- Revenue: ~\$15m

Opportunity to reduce friction in end-to-end DCA application process and model competitor

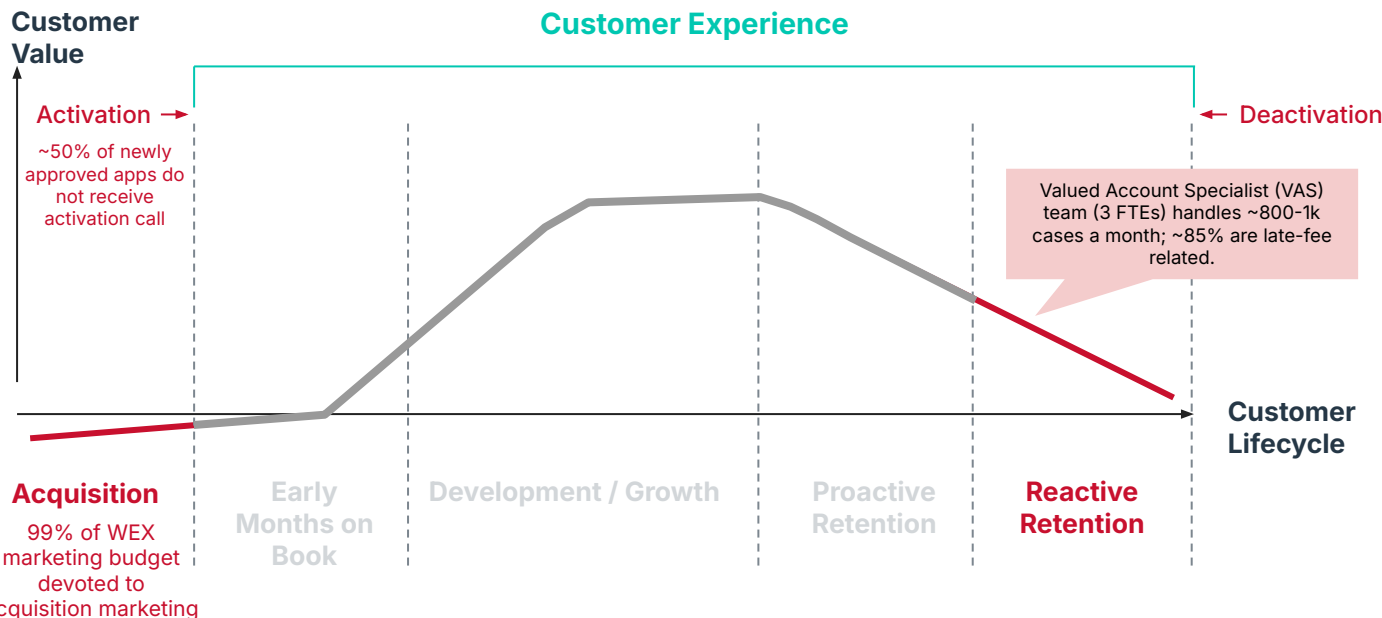


Our customer lifecycle management strategy will help retain more customers and stimulate growth

In 2025E, NAM Attrition (~\$70m) will nearly eclipse New Business (+\$35m) and our Sales Tail (+\$37m).

We allocate ~\$0 of marketing to managing attrition today.

A 50bps reduction in our attrition rate can equate to ~\$6-9M of in-year revenue retention.



Priority Initiatives include...

- Creation of initial customer segmentation framework and application
- Expanded activation
- E2e journeys for the "moments that matter" in customer lifecycle
- Optimize CX and journeys around CLI instances and selection
- AI-driven backbook analysis

KPIs

- Revenue retention/activation
- Attrition / dormancy rates
- NPS

2025 in-budget impact

- Revenue: ~\$1.5m
- Investment ask: ~\$0.6m (still requires approval)
 - 2 Marketing FTEs (\$300K)
 - 4 Activation FTEs (\$260K)
 - Rebate team FTE (\$65K working to automate)
 - \$200k contra revenue (rebates)

2025 incremental impact:

- Revenue upside: ~\$1.0m
- Investment ask: ~\$0.6m

Our pricing structure is creating a competitive disadvantage and is significantly limited by our technology & systems

We are focused on three key components across pricing:

Execute Existing Initiatives in '25

- ~\$6m of 2025 revenue from in-progress Fee Standardization:
 - +\$2.6m Late Fee increases
 - +\$2.1m card fee increases
 - +\$0.7m high-risk credit fee (note this is retroactive)

Experiment & learn with new initiatives

- Building off of Customer initiatives, we will work with x-functional partners to experiment around:
 - High Risk Origination Fees
 - "Low & Grow" strategies
 - Secured to CL Journeys
 - Risk-based pricing
 - Autopay functionality

- Autopay is a competitive gap and driver of attrition
- ~50% of SB revenue from late fees
- Strong initial correlation observed with autopay and higher NPS (2X), lower attrition (50%)

"Future-Proofing" (Infrastructure)

- Create alignment on pricing strategy
- Assess existing technology and systems vs. business requirements
- Determine build/partner strategy to modernize pricing stack

Priority Initiatives include...

- Execution of fee standardization efforts (~\$6m of '25 revenue)
- Autopay experimentation and strategy
- Personalized pricing (i.e., dynamic, risk-based pricing)

KPIs

- Revenue
- NPS
- Attrition rate
- Customer profitability

2025 in-budget impact

- Revenue: ~\$20m

2025 incremental impact:

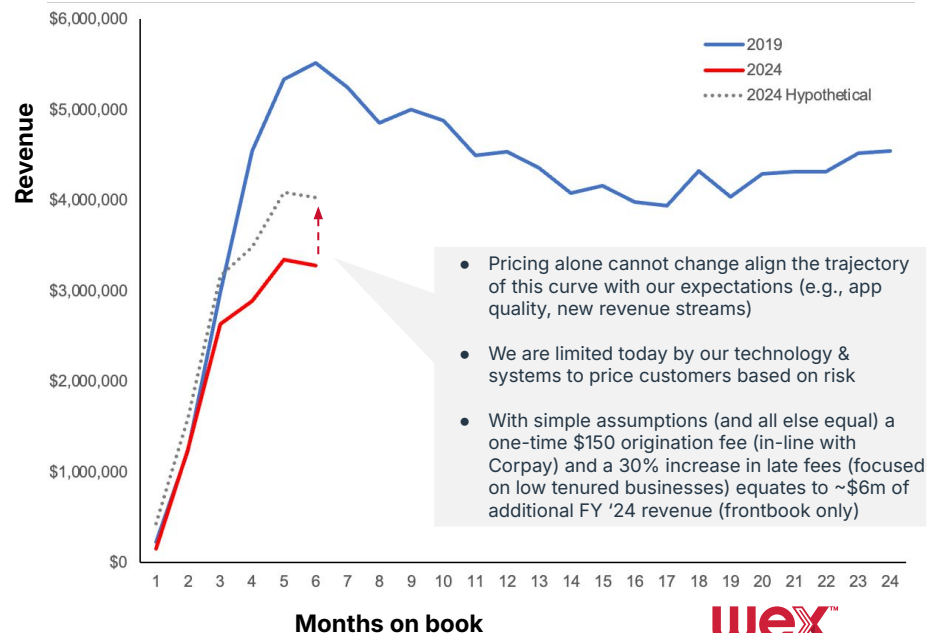
- Revenue upside: TBD
- Investment ask: \$0.7m
 - Expert guidance (\$0.4m)
 - Risk resources (\$0.4m)

A more personalized pricing model can help the business adapt to the less-tenured SB customer profile we are acquiring

With less liquidity in the market, we are seeing SBs charge-off at a faster rate, compressing late fee revenue

Account Open Year	WEX Avg. Months to Charge Off Years in Business		
	0-1	1-3	3-5
2019	21.8	20.1	21.2
2020	18.5	21.1	22.3
2021	13.0	13.9	15.3
2022	13.5	12.2	12.8

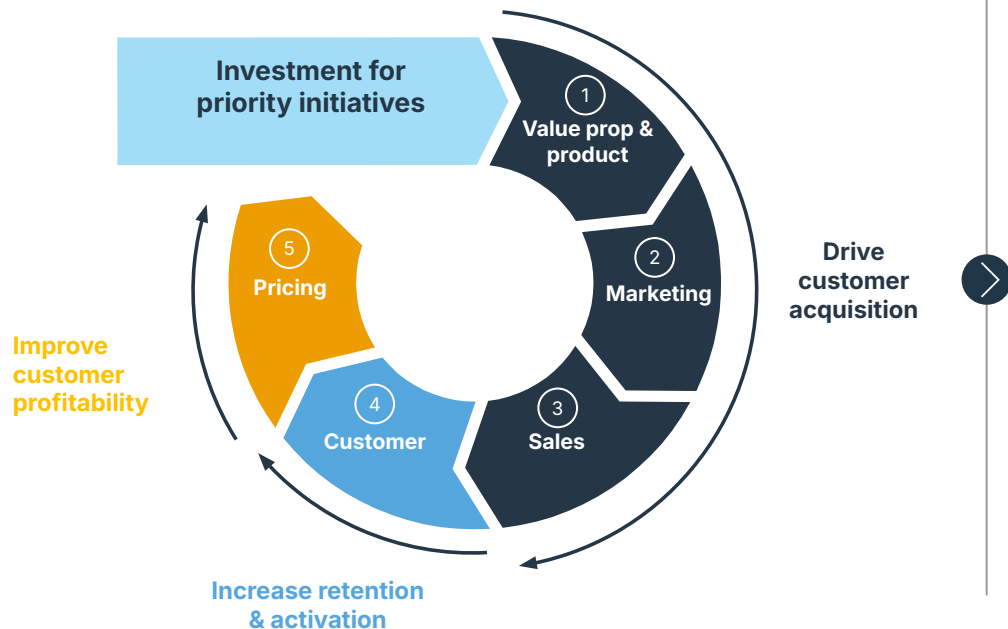
Experimenting with origination fees and customer-based late fee rates can help us change the trajectory of our business



Investment Summary & Next Steps

Priority H1 2025 initiatives, taken together, will drive value across acquisition, retention, & monetization of existing customer base to deliver on SB ambitions

Activation of H1 2025 initiatives will accelerate SB strategy through cycle of experimentation, learning, and deployment at scale



Top H1 2025 initiatives

- 1
 - More competitive rewards / promos
 - Implementation of refresh
 - Targeted refreshed features and CX improvements
- 2
 - ROI driven demand gen. channel investments
 - Precision targeting capabilities
 - New content and card-shop site experience
- 3
 - Creation of 1.0 SB organization
 - Implement lead-scoring & LTV-driven targeting
 - Simplify and enhance digital/DCA journeys
- 4
 - Fund base budget plan
 - Expand capabilities (incl. SMS) & further scale
 - Continued experimentation (pilots, guides)
- 5
 - Expert guidance on strategy, systems, implementation
 - Risk resources to pilot and scale

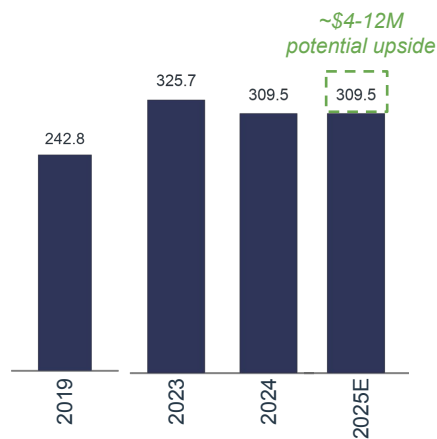
Activation of top initiatives will allow us to immediately capture value in 1H25

Priority initiatives (H1 25)			Estimated Incremental Resources (\$m) <i>Annualized</i>			
			FTEs	Capex	Opex	Contra-Rev
Drive customer acquisition	Value Prop Refresh	• More competitive rewards / LTO promos • Implementation of product refresh • Targeted refreshed features and CX improvements	-	\$0.8	\$1.0	\$1.0
	Marketing	• ROI driven demand gen channel investments • Precision targeting capabilities • New content and site experience	-	\$1.5	\$8.5	-
	Sales	• Creation of 1.0 SB organization • Implement lead-scoring & LTV-driven targeting • Simplify and enhance digital/DCA journeys	3	-	0.5	-
Increase retention & activation	Customer	• Fund base budget plan (\$600k, 6 FTEs) • Expand capabilities (incl. SMS) & further scale • Continued experimentation (pilots, guides)	9	\$0.3	\$1.0	\$0.2
Improve customer profitability	Pricing	• Expert guidance on strategy, systems, implementation • Risk-return Optimization Resources	2	\$0.2	\$0.5	-
Total Incremental			14	\$2.8	\$11.5	\$1.2

These investments will enable us to achieve our '25 plan while building momentum for '26+ future state

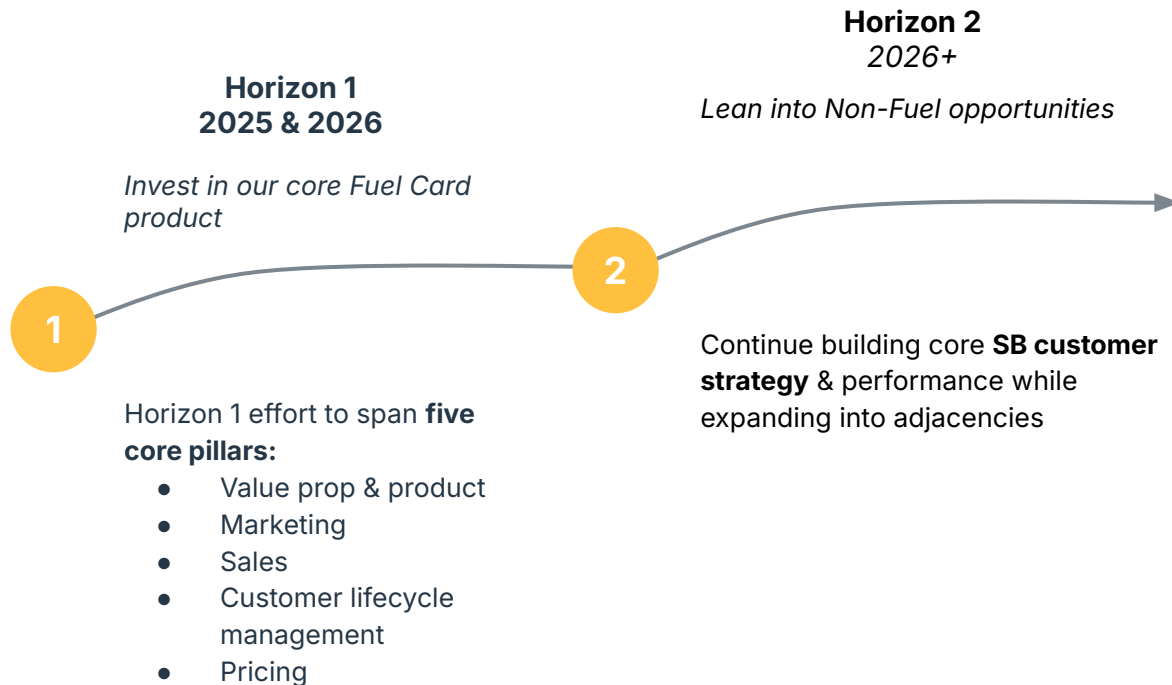
Investing behind strategic priorities will **create opportunity to achieve +4% growth in year**

SB revenue growth(\$M)



		Strategic Pillars	2025 Levers/ KPIs	2025E in-budget growth	2025E in-budget investment	2025 incremental upside	2025 incremental investment ask*
Horizon 1	Drive customer acquisition	Value Prop & Product Marketing Sales	\$ Revenue acquired - Revenue Yield - ROI % funnel close rates	~\$1 – 2M		~\$2 – 9M	~\$12M
	Increase retention & activation	Customer	- Revenue retention - Attrition / dormancy - NPS improvements	~\$1.5M	~\$0.6M to deliver base	~\$2 – 3M	\$0.6M
	Improve customer profitability	Pricing	- Revenue - NPS / Attrition - Customer profitability	~\$20M (~\$6M new)			\$0.7M
Horizon 2				TBD			TBD pending discovery
2025E Total				Incremental to 2025E ~\$309.5M in revenue		~\$4 – 12M	~\$12-15M

To enable our strategic ambition and horizon objectives, there are critical strategic questions to resolve early in Q1 2025



Q1 2025 questions to resolve within our 3LS and align with ELT:

- What should we stop doing and rationalize within WEX to drive greater focus & shift investment to accelerate SB 2025 priorities?
- Is Chip+ the right mechanism to capture non-fuel spend with SBs? Should we pause rollout to drive focus on SB Product refresh?
- Is our tech stack capable of evolving quickly enough to achieve our Horizon 1-3 ambitions? Should we pivot (partner, buy)?

Next steps

- SB 1H 2025 envelope & investment decisions finalized before end of December
- Review and align SB organizational and operating model needs
- Align timing and key owners to address open strategic questions with ELT

Appendix

We will lead with a data-driven, test & learn approach (1/2)

Overarching Hypotheses

1 Value Prop / Product

We can refresh our existing fuel value propositions to win against competitors

N/A incremental as we test & learn through 1H25

Sample-Hypotheses

We can differentiate on rewards through our closed loop economics

We can test our own fraud guarantee method

We can match or exceed competitive experiences through 'Select' platform

Next Actions / Experiments

Repackage savings model

Devise and implement pilot

Beta Launch

Initial Signposts / KPIs

App Starts/Completes

App Starts/Completes, NPS

Beta KPIs

Timing

2Q25

3Q25

1Q25

Funding Required?

\$1m
Rebates

TBC

N/A

Riskiest assumption: we can positively deliver on acquisition KPIs in near-term primarily through repositioning vs. structural improvements

2 Marketing

We can close competitive gaps quickly and win share

\$5-10m incremental investment overplan to drive growth

We can improve app quality and conversion to reach more core fuel customers

We can streamline and remove friction in our digital journeys/app

Funnel maturation, Precision targeting

Mobile Journey & SMS experimentation

Apps, Approvals, credit quality

App Starts / Completes

1Q25

3Q25

\$10m

TBC

Riskiest assumption: we can continue to win share based on existing value prop vs. broader competitive value suite

3 Sales

We can increase efficiency with tech and targeting

N/A

We can acquire high quality customers with targeted outbound efforts

We can use LTV insights to drive targeting and lead prioritization

Stand up targeted outbound team

LTV implementation

Close rates

Close rates

2Q25

2Q25

TBC

N/A

Riskiest assumption: we can transition to a digital-only channel in the medium-term

We will lead with a data-driven, test & learn approach (2/2)

Overarching Hypotheses

4 Customer

By engaging with our customers throughout their lifecycle we can retain more customers, increase customer satisfaction and stimulate growth

~\$600k required to achieve \$1.5m base plan; opportunity to scale further pending results

Sample Sub-Hypotheses

- We can get more approved customers to activate, and activate earlier
- A customer segmentation framework can help us retain more customers
- We can positively impact customers engaging at the "moments that matter" (e.g., during early months on book, credit line increases, anniversary acknowledgments) through various channels (e.g., email marketing journeys, SMS)
- We can proactively identify and engage high value customers at risk of attrition

Example Initiatives

Next Actions / Experiments

Initial Signposts / KPIs

Timing

Funding Required?

Expand activation coverage	30/60-d activation rate; spend	1Q25	\$260k
Implement CSeg late fee waivers	Attrition, CLTV, NPS	1Q25	N/A
Define & implement new journeys	Spend, NPS, Attrition	2Q25	\$300k
Targeted pilot around Credit Line Increases	Spend, NPS, Attrition	2Q25	N/A
Productionize & test model v2.0	Spend, Attrition	1Q25	N/A

Riskiest assumption: we can positively impact attrition in the context of our late fee model

5 Pricing

With better pricing capabilities, we can improve profitability and retain more customers

Scoping incremental investment and revenue upside

- We are losing customers due to a lack of autopay
- Autopay will reduce late fees but increase CLTV
- We are not appropriately pricing higher risk, early tenure SBs
- Personalized pricing can make micro fleets more profitable and limit upmarket attrition
- Our pricing structure and systems cannot meet business requirements

NPS & Customer research aggregation	Attrition, NPS	1Q25	N/A
QuikTrip portfolio analysis	Revenue, Attrition, CLTV, NPS	1Q25	N/A
SWAT Backbook & LTV Insights	ROI, COs, Revenue	1Q25	N/A
Targeted manual pilots (<i>to be scoped</i>); e.g., origination fees	Revenue, Attrition, CLTV, NPS	2Q25	TBC
3LS strategic discussion & build	TBC	2Q25	TBC

Riskiest assumption: our pricing structure and systems can meet business requirements

Q1 2023 vintage 'actuals' leveraging 18 months of spend data confirms our investment allocations, but illustrates Profile-based incongruities

			
	Q1 23 18+ Mo. Actuals	Q1 23 18+ Mo. Actuals	Q1 23 18+ Mo. Actuals
Direct Mail 	Rev: \$348K CAC: \$404K Rev/CAC: 0.86	Rev: \$104.6K CAC: \$244K Rev/CAC: 0.42	Rev: \$288K CAC: \$189K Rev/CAC: 1.52
Paid Search 	Rev: \$1,221K CAC: \$272K Rev/CAC: 4.5	Rev: \$10.1K CAC: \$163K Rev/CAC: 0.06	Rev: \$100K CAC: \$28.5K Rev/CAC: 3.5
Marketing-Sourced (All) 	Rev: \$3,930K CAC: \$694K Rev/CAC: 5.6	Rev: \$329K CAC: \$497K Rev/CAC: 0.67	Rev: \$676.8K CAC: \$226K Rev/CAC: 3.0

Rev = Net Revenue - Charge Off

Missing accounts for "Online form, Website and Generic" so Rev/CAC is slightly better for DM and (All)

How this informs our 2025 plan:

- **Non-Contractual budgets to be invested in 100% WEX for 2025** (previously 60%+ was Partners).
- **Paid Search confirmed as best performing channel** by CAC and rate of return for most programs.
- **Notable drivers of revenue are "Profile"-based; will use precision targeting levers to optimize accordingly:** Fleet size 1-5 only breaks even after 18 months if 5+ YIB (YIB 1-5 if excluding Shell)
- **Full channel landscape needs to be analyzed cumulatively to reflect omnichannel effectiveness:**
 - Q1 showed 10+ ad exposures across 4 placements from at least 2 months needed to convert
 - 30%+ of Paid Search, Direct Mail and Programmatic converts in organic with lost attribution (BCG)

We backtested Q1 2024 vintage 'actuals' with 'predicted' values to determine LTV model underestimated revenue and risk



Direct Mail



Q1 24 6 Mo. Predicted	Q1 24 6 Mo. Actuals	Q1 24 6 Mo. Predicted	Q1 24 6 Mo. Actuals	Q1 24 6 Mo. Predicted	Q1 24 6 Mo. Actuals
Rev: \$51.5K CAC: \$165K Rev/CAC: 0.31	Rev: \$151K CAC: \$165K Rev/CAC: 0.91	Rev: \$6.7K CAC: \$129K Rev/CAC: 0.05	Rev: \$17.2K CAC: \$129K Rev/CAC: 0.13	Rev: \$45K CAC: \$218K Rev/CAC: 0.2	Rev: \$112.5K CAC: \$218K Rev/CAC: 0.52
Rev: \$237 CAC: \$578K Rev/CAC: 0.41	Rev: \$697K CAC: \$578K Rev/CAC: 1.2	Rev: \$8.2K CAC: \$190K Rev/CAC: 0.04	Rev: \$66.5K CAC: \$190K Rev/CAC: 0.35	Rev: \$37.7K CAC: \$142.5K Rev/CAC: 0.26	Rev: \$104.4K CAC: \$142.5K Rev/CAC: 0.73
Rev: \$707K CAC: \$789K Rev/CAC: 0.9	Rev: \$2,255K CAC: \$789K Rev/CAC: 2.86	Rev: \$40.5K CAC: \$392K Rev/CAC: 0.1	Rev: \$151K CAC: \$392K Rev/CAC: 0.39	Rev: \$130K CAC: \$371.8K Rev/CAC: 0.35	Rev: \$340K CAC: \$371.8K Rev/CAC: 0.9

Paid Search



Marketing-Sourced (All)



Rev = Net Revenue - Charge Off

Missing accounts for "Online form, Website and Generic" so Rev/CAC is slightly better for DM and (All)

Learnings

- The LTV model, when backtested on "like-to-like" cohort on "Marketing Funnel," underestimated net revenue minus costs by **63% for (Q1 2024)** and **34% for (Q1 2023)**.
- The Top 17 programs in **Q1 2024 generated \$5.1M from \$6M CAC by Month 8**. (Rev/CAC of 0.85).

Conclusions

- Current LTV model is unstable for use of Marketing and Risk decisioning and will need to be refreshed in 2025.
- Actual 2023 and 2024 vintage data suggests WEX direct investments can return >2X Rev Yield on incremental investments proposed for 2025 t

Based on data from our in-year learnings, we have identified a number of 2025 CLM priorities

Customer Lifecycle

EARLY MONTHS ON BOOK

Deliver best-in-class e2e experience for customers in first 6 months

Activation

Expand activation coverage to increase activation rates and online enrollment

New Journeys

Create and deploy journeys (email, SMS) for the "moments that matter" in the customer lifecycle

DEVELOPMENT

Drive toward full utilization of core product; help identify/grow ideal customers and stimulate sustainable growth in backbook (e.g., upsell, x-sell)

Credit Line Increases

Optimize CX and journeys around CLI instances and selection

Secured Credit

Optimize funds flow of secured credit product; optimize CX and path to credit for these customers

Pricing

Determine path for 2 workstreams: 1) autopay, 2) personalized pricing

Discounts

Better communicate, expose, and incentivize / reward customers with fuel savings (Advantaged Network)

RETENTION

Minimize attrition impact: proactively identify and engage

Proactive

Continue to experiment with proactive outreach at scale to customers identified as high risk to attrit

Treatments

Experiment with various treatments to retain customers at risk of attrition

STRATEGY & INFRASTRUCTURE

[Link to draft roadmap](#)

Reporting & Analytics

Create baseline reporting dashboard v1.0 (attrition, silent, backbook gallons, etc.) and cadence of analytics. Integrate AI tool to power continuous backbook insights and analytics

Customer Segmentation

Create initial profitability-led customer segmentation view in partnership with Risk, Finance, D&A; productionize CSeg in high-value use cases to optimize treatments and effort

WEX Select

Launch improved end to end CX and core fuel card experience; leverage modern sandbox as critical enabler of testing, learning and deployment of enhancements/value add